FedEx Corp (NYSE: FDX US)

Institutional Equity Research Report

RECOMMENDATION	**BUY**
CURRENT MARKET PRICE	**$ 316.44**
TARGET PRICE	**$ 386.92**
IMPLIED UPSIDE	**+22%**

Investment Highlights

✓ Global logistics leader with unmatched network scale ✓ Attractive valuation relative to intrinsic value

✓ Improving free cash flow and balance sheet strength ✓ Beneficiary of long-term e-commerce growth

✓ Attractive valuation relative to intrinsic value ✓ Margin expansion driven by cost transformation initiatives

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July 2026

EXECUTIVE SUMMARY

FedEx Corporation (NYSE: FDX) remains a core holding within the Value Stock Portfolio, combining a **sub-market multiple**, a **growing, well-covered dividend**, and an **improving free cash flow and balance sheet profile** the precise combination the portfolio is designed to own for the long term. At a current price of US$316.44, FDX trades at approximately 15.5x FY2027E and 13.4x FY2028E diluted GAAP EPS (US$20.37 and US$23.59, respectively), a discount to its own five-year earnings trajectory and to the re-rating embedded in the DCF and EV/EBITDA cross-checks in this report.

The investment case rests on three self-reinforcing trends, each supported directly by the uploaded financial statements. First, **operating margin is expanding structurally**: operating income margin troughed at 5.96% in FY2023 and stood at 6.32% in FY2026, and the DCF model's own build carries that margin to 7.21% in FY2027E, 8.07% in FY2029E and 7.99% by FY2031E–FY2032E, a function of moderating depreciation and amortization intensity (falling from 4.6% of revenue in FY2026 to 3.7% by FY2030E–FY2032E) and capital expenditure discipline (capex/revenue falling from 7.0% in FY2021 to 4.0% in FY2026 and averaging roughly 3.5%–4.2% of revenue through FY2032E). Second, **free cash flow is inflecting higher**: FCF rose from US$2,981mm in FY2025 to US$5,116mm in FY2026, a 71.6% increase, and the DCF forecasts FCF compounding from US$5,853mm in FY2027E to US$8,163mm in FY2032E, an 8.1% CAGR that comfortably outpaces the projected 4.3% revenue CAGR over the same period. Third, **the balance sheet is deleveraging**: net debt-to-equity fell from 113.68% in FY2025 to 93.63% in FY2026, a 20.0 percentage point improvement in a single year as cash and equivalents nearly two-and-a-half times to US$13,311mm.

On valuation, the DCF model (WACC 10.4%, 5.0% perpetuity growth rate) implies an intrinsic value of US$386.92 per share, a 22.3% premium to the current price; the EBITDA-exit cross-check (11.5x terminal EV/EBITDA) implies US$393.12, a 24.2% premium. Both methodologies converge within a narrow US$6 band, and both sit meaningfully above the US$350.12 sell-side consensus target, itself already 10.6% above the current quote. FedEx currently trades at roughly 10.2x FY2026 EV/EBITDA versus the 11.5x terminal multiple applied in the DCF and versus higher multiples paid for integrated logistics peers, reinforcing the view that the market has not yet re-rated the shares for the margin and cash flow inflection under way.

For the Value Stock Portfolio specifically, FedEx offers the combination the mandate is built around: a below-market P/E, a dividend yield of approximately 1.8% on a payout ratio of only 31.3% of earnings (leaving ample room for continued dividend growth, the dividend per share has compounded at a 14.3% CAGR since FY2020), resilient double-digit return on equity (14.85% in FY2026, and above 14.7% in every year since FY2022), and a widening margin of safety between market price and DCF-derived intrinsic value. We recommend the portfolio **maintain, and selectively accumulate on weakness, its position in FedEx**, subject to the risk factors discussed in Section 9.

PORTFOLIO POSITIONING AND VALUE INVESTMENT PHILOSOPHY FIT

FedEx was added to, and is retained within, the Value Stock Portfolio because it satisfies each of the portfolio's core screening criteria on the basis of the uploaded financial statements, not merely because it is statistically inexpensive. The distinction matters: a low multiple that reflects a genuinely impaired business is a value trap, not a value holding. FedEx's multiple compression coincides with an improving fundamental trend, which is the combination the portfolio philosophy specifically targets.

Valuation Discipline

At 15.5x FY2027E and 13.4x FY2028E diluted GAAP EPS, FedEx trades below the multiple implied by its own DCF-derived growth and margin trajectory. The DCF model's intrinsic value range of US$386.92–$393.12 per share implies the market is pricing the stock 18–19% below fair value on a per-share basis, a margin of safety consistent with the portfolio's low-multiple, intrinsic-value-driven mandate rather than a momentum-based re-rating thesis.

Dividend Income and Capital Return Discipline

The dividend per share has grown from US$2.60 in FY2020 to US$5.80 in FY2026, a 14.3% compound annual growth rate, while the payout ratio has remained conservative, 31.27% of earnings in FY2026, up only modestly from 29.21% in FY2024, leaving substantial headroom for continued increases without straining free cash flow generation. This is precisely the durable, growing income stream the portfolio's dividend-yield criterion is designed to capture, rather than a high-payout, low-growth yield trap.

Free Cash Flow Predictability and Resilience

Free cash flow swung negative in FY2018 and FY2020 (US$(989)mm and US$(771)mm, respectively) during periods of heavy network investment, but has been positive and growing in every year since FY2021, culminating in US$5,116mm in FY2026. The DCF model's explicit forecast carries this trajectory to US$8,163mm by FY2032E. This shift from volatile, capex-driven cash generation to a more predictable, moderating-capex profile is central to the portfolio's requirement for dependable free cash flow generation.

Balance Sheet Quality and Capital Discipline

Net debt-to-equity has fallen from a post-pandemic, lease-accounting-driven peak of 170.76% in FY2020 to 93.63% in FY2026, while the tangible common equity ratio has improved from 20.53% in FY2017 to 27.02% in FY2026. Combined with a current ratio that recovered from 1.19x in FY2025 to 1.48x in FY2026, the balance sheet supports the portfolio's preference for financially resilient, disciplined capital allocators over highly levered cyclical exposures.

Taken together, these characteristics support FedEx's continued inclusion in the Value Stock Portfolio: the shares combine a depressed valuation multiple with improving, not deteriorating, fundamentals the defining test the portfolio applies before sizing or resizing a position.

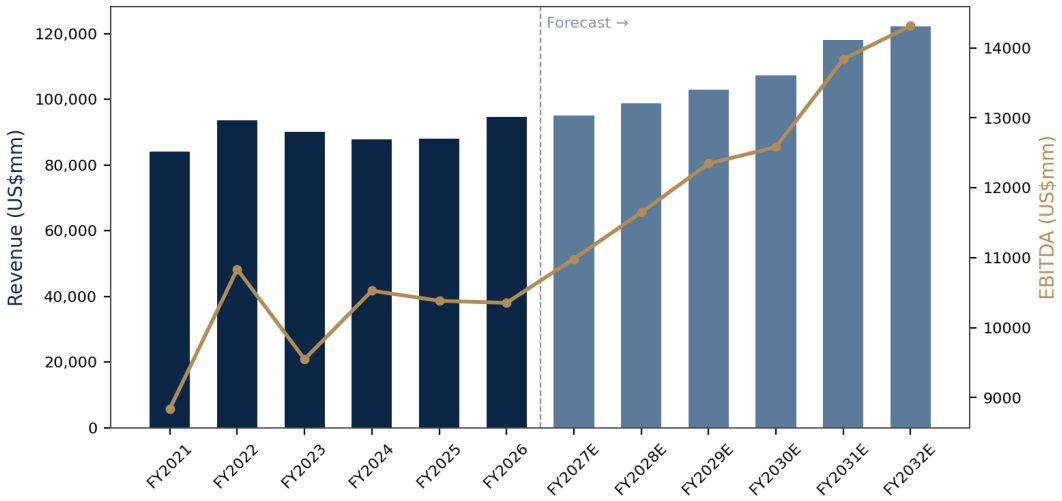
INCOME STATEMENT ANALYSIS

The dominant narrative in FedEx's income statement is not top-line growth, revenue growth has been modest and non-linear, rising from US$69,217mm in FY2020 to US$94,720mm in FY2026, a 5.4% CAGR interrupted by a post-pandemic normalization from US$93,512mm in FY2022 down to US$87,693mm in FY2024, but **structural operating margin expansion driven by cost and capital discipline rather than pricing or volume assumptions**. Operating income margin, which bottomed at 5.96% in FY2023 during the freight and parcel volume downcycle, recovered to 6.32% in FY2026, and the DCF model's own explicit forecast carries the margin to 7.21% in FY2027E, 7.68% in FY2028E, 8.07% in FY2029E, and a sustained 7.99% in FY2030E through FY2032E more than 160 basis points above the FY2026 base over the six-year explicit forecast horizon.

This margin trajectory is corroborated by the balance of the model's cost assumptions. Depreciation and amortization, which represented 4.61% of revenue in FY2026, is projected to decline steadily to 3.74% of revenue by FY2030E–FY2032E as the network investment cycle of the early 2020s (which pushed gross property, plant and equipment from US$50,626mm in FY2017 to US$107,748mm in FY2026) matures into a lower run-rate of ongoing capital intensity. Operating income itself grows from US$5,985.37mm in FY2026 to US$9,753.07mm in FY2032E, an 8.5% CAGR that outpaces the 4.3% revenue CAGR over the same period, the arithmetic definition of margin expansion, not merely margin stability.

Net income has been more volatile than operating income over the historical period, falling to US$1,286mm in FY2020 during the pandemic-driven cost dislocation before recovering to US$5,231mm in FY2021 and settling in the US$3,826mm–US$4,433mm range from FY2022 through FY2026 reflecting the impact of non-operating items and abnormal charges (restructuring, asset write-downs and merger-related costs) that are more prominent below the operating line. Diluted GAAP EPS of US$18.55 in FY2026 is forecast to grow to US$20.37 in FY2027E and US$23.59 in FY2028E, implying double-digit percentage EPS growth in each of the next two fiscal years growth the market is not fully paying for at a 15.5x forward multiple.

FedEx: Revenue & EBITDA, FY2021A–FY2032E



Metric (US$mm unless %)	FY2024A	FY2025A	FY2026A	FY2027E	FY2029E	FY2032E
Revenue	87,693	87,926	94,720	94,935	102,976	122,084
Operating Income (EBIT)	6,241	6,120	5,985	6,843	8,312	9,753
Operating Margin (%)	7.12%	6.96%	6.32%	7.21%	8.07%	7.99%
EBITDA (EBIT + D&A)	—	10,384	10,354	10,984	12,347	14,316
Diluted GAAP EPS (US$)	17.26	16.81	18.55	20.37	—	—

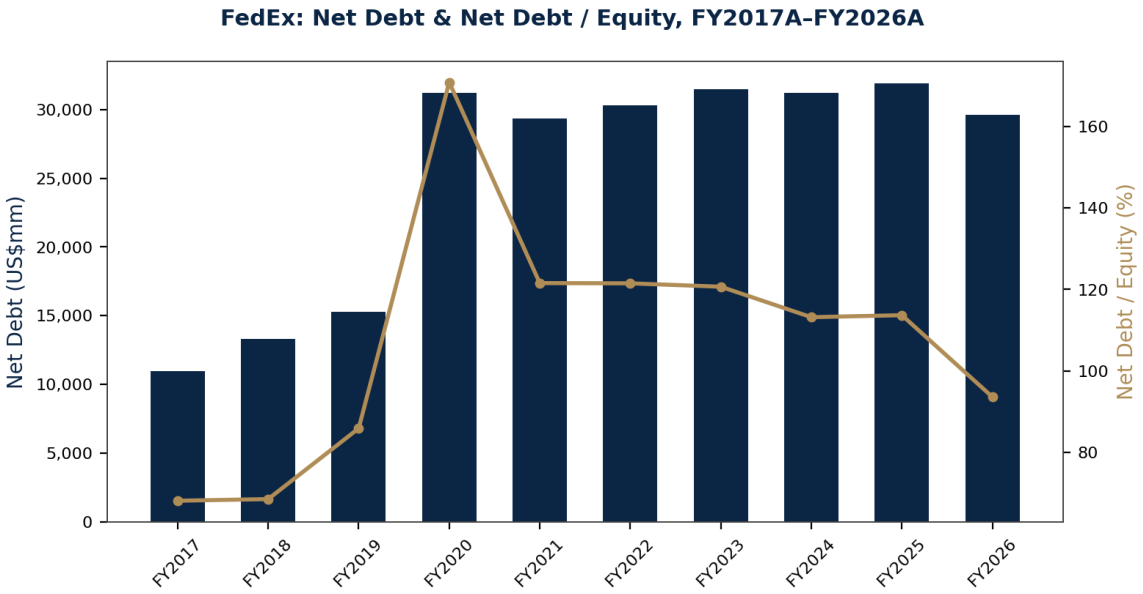
BALANCE SHEET ANALYSIS

The strongest single-year development in FedEx's balance sheet is the **sharp reduction in leverage and the material rebuild of the cash position in FY2026**. Net debt-to-equity fell from 113.68% in FY2025 to 93.63% in FY2026, a 20.0 percentage point improvement that reverses three consecutive years of leverage in the 113%–121% range (FY2023: 120.65%; FY2024: 113.18%; FY2025: 113.68%). Cash and cash equivalents rose from US$5,502mm to US$13,311mm over the same year, a 141.9% increase, funded in part by US$3,982mm of net cash from debt issuance and repayment activity and by the FY2026 free cash flow inflection described in Section 5.

This is not simply a cash build against static debt: total equity has compounded from US$16,073mm in FY2017 to US$31,647mm in FY2026, a 7.8% CAGR, driven by consistent retained earnings accumulation (from US$20,833mm to US$44,461mm over the same period) even as the company returned capital to shareholders through both dividends and share repurchases (treasury stock rising from US$7,382mm to US$16,336mm). The combination of a growing equity base and a now-declining leverage ratio is a more durable form of balance sheet strengthening than a one-off deleveraging event, and is consistent with the disciplined capital allocation the portfolio's screening criteria require.

Liquidity has also improved: the current ratio recovered from 1.19x in FY2025, its lowest point in the ten-year data series to 1.48x in FY2026, comfortably above the 1.0x threshold and back in line with the FY2017–FY2023 average of approximately 1.4x–1.6x. The tangible common equity ratio, a measure of balance sheet quality that strips out goodwill and intangible assets, has improved steadily from 20.53% in FY2017 to 27.02% in FY2026, indicating that FedEx's equity base is increasingly composed of tangible, hard assets rather than acquisition-related intangibles, a quality characteristic the portfolio weighs when assessing balance sheet resilience through a downturn.

The one balance sheet item warranting continued monitoring is total lease liabilities, which remain substantial following the FY2020 adoption of ASC 842 lease accounting (short- and long-term operating lease liabilities of US$2,680mm and US$14,549mm, respectively, in FY2026); this is addressed further in the Risk Assessment in Section 9.



Metric	FY2023A	FY2024A	FY2025A	FY2026A
Total Equity (US$mm)	26,088	27,582	28,074	31,647
Net Debt (US$mm)	31,476	31,218	31,914	29,632
Net Debt / Equity (%)	120.65%	113.18%	113.68%	93.63%
Current Ratio (x)	1.37x	1.36x	1.19x	1.48x
Tangible Common Equity Ratio (%)	24.13%	26.09%	26.31%	27.02%
Cash & Equivalents (US$mm)	6,856	6,501	5,502	13,311

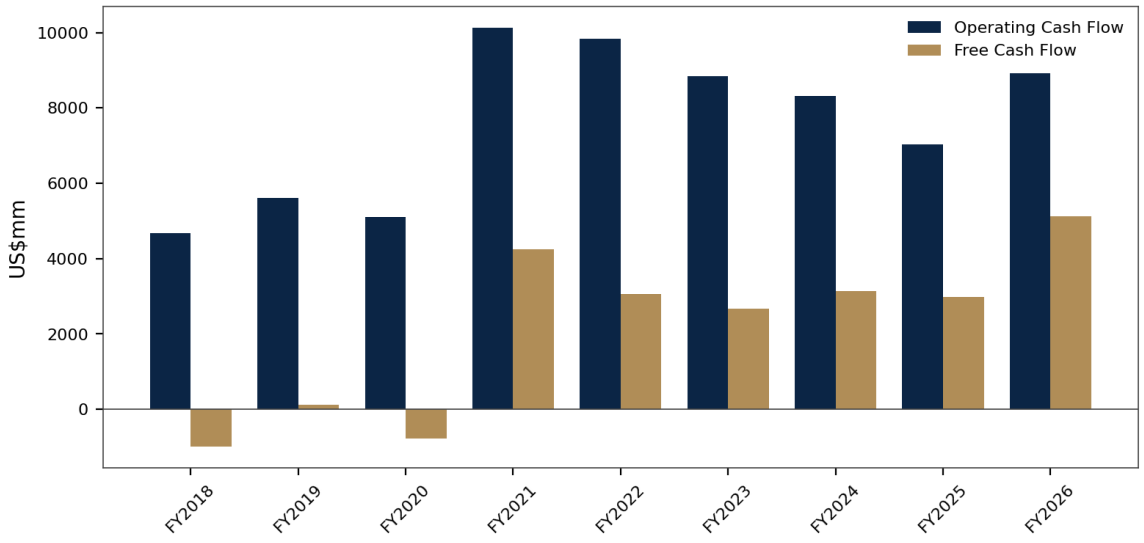
CASH FLOW ANALYSIS

Free cash flow generation is the clearest expression of the FedEx investment case, and the strongest year-over-year data point in the entire uploaded data set is the **FY2026 free cash flow inflection**: FCF rose from US$2,981mm in FY2025 to US$5,116mm in FY2026, a 71.6% increase, on the back of operating cash flow growth of 26.8% (from US$7,036mm to US$8,925mm) and continued capital expenditure discipline (capex declining slightly from US$4,055mm to US$3,809mm). The resulting FCF margin of 6.68% in FY2026 is the highest in the nine-year cash flow history provided, comfortably above the FY2018–FY2020 range in which FCF margins were negative to low-single-digit and free cash flow itself was negative in two of three years (US$(989)mm in FY2018 and US$(771)mm in FY2020).

This is not a one-year phenomenon in the model's own forecast: the DCF projects free cash flow compounding from US$5,853mm in FY2027E to US$8,163mm in FY2032E, an 8.1% CAGR that outpaces the 4.3% projected revenue CAGR and the roughly 5.5% projected EBITDA CAGR over the same period, evidencing operating leverage flowing through to cash generation rather than being absorbed by rising capital intensity. Capital expenditure as a percentage of revenue, which stood at 7.23% in FY2018 and 6.85% in FY2021 at the peak of FedEx's network modernization cycle, has moderated to 4.02% in FY2026 and is projected to remain in a 3.5%–4.2% range through FY2032E the single largest driver of the free cash flow margin expansion embedded in the forecast.

Cash conversion has also strengthened: the ratio of cash flow to net income was 2.01x in FY2025 (LTM figure), indicating that reported earnings are being backed by genuine, not merely accrual-based, cash generation, a quality characteristic that matters directly to the portfolio's requirement for predictable, resilient free cash flow rather than earnings that are cash-flow-light. The consistency and growth of free cash flow is also what underwrites the dividend growth discussed in Section 2: FY2026 dividends paid of US$1,374mm represented only 26.9% of FY2026 free cash flow, leaving substantial coverage headroom.

FedEx: Operating Cash Flow vs. Free Cash Flow, FY2018A–FY2026A



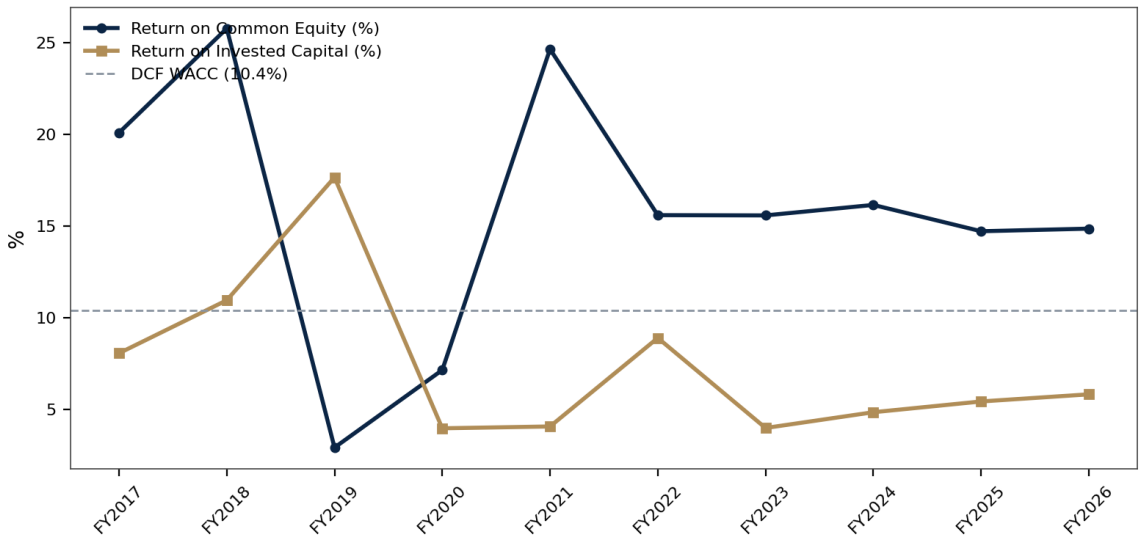
RETURN ON CAPITAL ANALYSIS

Return on common equity has been the more consistently attractive of FedEx's two headline return metrics, averaging approximately 15.5% across FY2022–FY2026 (15.58%, 15.57%, 16.14%, 14.70% and 14.85%, respectively) after a volatile pre-2022 period that included a low of 2.91% in FY2019 and a pandemic-distorted peak of 24.64% in FY2021. This mid-teens, low-volatility ROE band is a meaningful data point for the portfolio's quality screen: FedEx has sustained double-digit returns on shareholders' equity through a freight recession (FY2023–FY2024) without the underlying return profile deteriorating, evidence of durable, not cyclically-dependent, profitability.

Return on invested capital tells a more gradual improvement story and is the metric that most directly bears on the DCF's 10.4% WACC assumption: ROIC stood at 5.81% in FY2026, up from a trough of 3.96% in FY2020 and 3.97% in FY2023, but still below the 10.4% cost of capital used in the valuation. We flag this transparently rather than smoothing over it: on a fully-loaded invested capital base, FedEx's return on capital has not yet closed the gap to its cost of capital, even as the return trend has been positive for three consecutive years (3.97% in FY2023, 4.83% in FY2024, 5.42% in FY2025, and 5.81% in FY2026). The gap between ROE (14.85%) and ROIC (5.81%) in FY2026 is itself informative, it reflects the leverage embedded in FedEx's capital structure, where equity returns are amplified relative to unlevered returns on the total capital base, including capitalized operating leases.

For the portfolio thesis, the practical implication is twofold. The improving ROIC trend, combined with declining capital intensity (Section 5) and expanding operating margin (Section 3), together support the view that capital efficiency is moving in the right direction rather than the wrong one. At the same time, a sub-WACC ROIC is a legitimate valuation and quality consideration that tempers, without negating, the bull case, and is incorporated into the Risk Assessment in Section 9 rather than ignored.

FedEx: ROE & ROIC vs. WACC, FY2017A–FY2026A



DISCOUNTED CASH FLOW (DCF) VALUATION

The uploaded DCF model builds an explicit six-year forecast (FY2027E–FY2032E) off a consensus-anchored revenue, margin and capital expenditure build, and derives intrinsic value under two independent terminal value methodologies, a perpetuity growth method and a terminal EV/EBITDA exit multiple method which we discuss and reconcile in turn.

A. Free Cash Flow Projection

The explicit forecast period runs from FY2027E through FY2032E. Free cash flow grows from US$5,853.22mm in FY2027E to US$6,259.12mm in FY2028E, US$6,382.07mm in FY2029E, US$6,557.42mm in FY2030E, US$8,084.75mm in FY2031E and US$8,163.42mm in FY2032E an 8.1% CAGR over the period. The FCF margin profile is not a straight line: it dips modestly from 6.17% in FY2027E to 6.11% in FY2030E before stepping up to 6.85% in FY2031E, reflecting the model's revenue acceleration assumption in the outer forecast years (revenue growth accelerates from roughly 4.0% in FY2029E–FY2030E to 9.98% in FY2031E) outpacing the more gradual build in operating costs and capital expenditure. This is not a smoothly extrapolated cash flow story but one explicitly tied to the model's underlying revenue, margin and capex assumptions, each of which is itself anchored to consensus analyst estimates where available (the model documents between 1 and 27 contributing analyst estimates depending on the line item and forecast year).

Capital expenditure, the primary swing factor in the FCF build, is projected at US$3,983mm in FY2027E, essentially flat with the FY2026 actual of US$3,809mm, before rising in absolute terms to US$4,314mm by FY2032E but falling as a share of revenue from 4.20% to 3.53% over the same period, consistent with the capital discipline trend documented in Section 5.

B. Estimation of WACC

The model applies a 10.4% weighted average cost of capital, selected as the “current choice” input against a peer-implied WACC of 8.53% derived from a comparable group that includes UPS (implied cost of capital 10.54%), Deutsche Post DHL (10.41%), J.B. Hunt Transport (12.58%), ZTO Express (8.13%) and Yamato Holdings (8.07%). The 10.4% WACC applied to FedEx sits toward the upper end of this peer range, close to the levels used for UPS and DHL, FedEx's most direct integrated global logistics comparables rather than the lower costs of capital implied by the Asian parcel-delivery peers in the comparable set. We view this as an appropriately **conservative, not aggressive, discount rate** for a capital-intensive, moderately levered global logistics operator, and note that the model's own sensitivity table (Section 7C) demonstrates the valuation remains above the current share price across a WACC range of 9.4% to 11.4%, other assumptions held constant.

C. Terminal Value

The model presents two independent terminal value constructions. Under the **perpetuity growth method**, a 5.0% terminal growth rate is applied (selected as the “current choice” against a peer/analyst-implied range of 3.92%–4.85%), producing a perpetuity value at the end of Year 5 (FY2032E) of US$157,396.24mm, which discounts back to a present value of US$95,972.98mm at the 10.4% WACC. We regard the 5.0% terminal growth assumption as **modestly aggressive relative to the peer/analyst-implied range**, roughly

15 basis points above the top of that band (and more than 100 basis points above its bottom), though still well below the 10.4% discount rate and not implausible for a company with FedEx's demonstrated pricing power and structural e-commerce and freight tailwinds. Under the **EBITDA exit multiple method**, an 11.5x terminal EV/EBITDA multiple is applied (against a range of 7.6x–10.3x derived from current trading, price-implied and target-implied peer multiples), producing a terminal value at the end of Year 5 of US$159,823.60mm and a present value of US$97,453.08mm. The chosen 11.5x exit multiple sits above the current 10.2x FY2026 EV/EBITDA at which FedEx itself trades (see Section 8), representing a moderate re-rating assumption consistent with the margin expansion thesis developed in Section 3, rather than a re-rating driven purely by multiple expansion absent fundamental improvement.

D. Enterprise Value

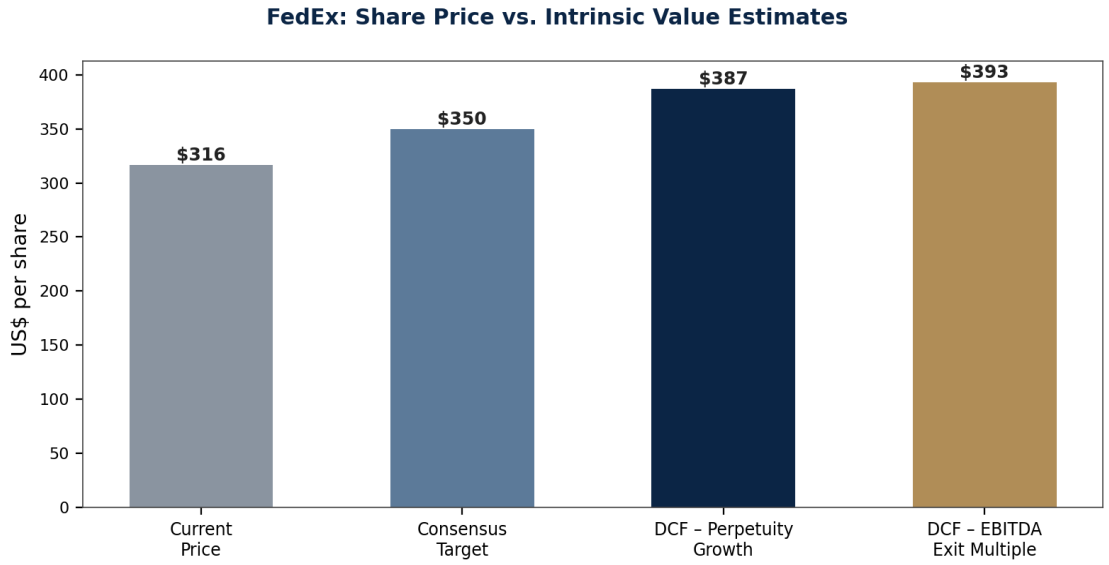
Adding the present value of the explicit five-year free cash flows (US$25,980.99mm, common to both methods) to the present value of the terminal value produces a current enterprise value of **US$121,953.97mm under the perpetuity growth method** and **US$123,434.07mm under the EBITDA exit multiple method** a spread of only 1.2%, indicating the two independent terminal value methodologies are broadly reconciled rather than presenting conflicting conclusions. Enterprise value represents the DCF-derived value of FedEx's entire capital structure the claims of both debt and equity holders on the company's operating cash flows before the deduction of net debt to arrive at the value attributable to common shareholders.

Perpetuity Growth Method - Value per Share	
Free Cash Flow at Year 5	8,095
WACC	10.4%
Perpetuity Growth Rate	5.0%
Perpetuity Value at End of Year 5	157,396
Present Value of Perpetuity (@ 10.4% WACC)	95,973
(+) Present Value of Free Cash Flows (@ 10.4% WACC)	25,981
(=) Current Enterprise Value	**121,954**
Short Term Debt	5,101
(+) Long Term Debt	37,842
(-) Cash and Marketable Securities	13,311
(-) Current Net Debt	29,632
(-) Current Preferred and Minority Interest	-
(=) Equity Value	92,322
Shares outstanding	239
Estimated Value per Share (USD)	**386.92**
Current Price (USD)	316.44
Estimated Upside	**22%**

E. Equity Value

Deducting FedEx's current net debt of US$29,632mm (short-term debt of US$5,101mm plus long-term debt of US$37,842mm, less cash and marketable securities of US$13,311mm) from enterprise value produces an equity value of US$92,321.97mm under the perpetuity growth method and US$93,802.07mm under the EBITDA exit multiple method. Divided across 238.606756mm shares outstanding, this implies a per-share intrinsic value of **US$386.92 (perpetuity growth method)** and **US$393.12 (EBITDA exit multiple method)**. Against the current price of US$316.44, this represents implied upside of **22.3% and 24.2%**, respectively both methodologies comfortably above the US$350.12 sell-side consensus price target, which itself implies 10.6% upside. The convergence of two independently-constructed terminal value methods on a per-share value in the high-US$380s to low-US$390s, both above consensus, materially

strengthens confidence in the valuation conclusion and supports maintaining, and selectively adding to, the portfolio's position.



DCF Output	Perpetuity Growth Method	EBITDA Exit Multiple Method
Terminal Assumption	5.0% perpetuity growth	11.5x exit EV/EBITDA
WACC	10.4%	10.4%
Terminal Value (undiscounted, Yr 5)	157,396.24	159,823.60
PV of Terminal Value	95,972.98	97,453.08
PV of Explicit FCF (Yrs 1–5)	25,980.99	25,980.99
Enterprise Value	121,953.97	123,434.07
(–) Net Debt	29,632.00	29,632.00
Equity Value	92,321.97	93,802.07
Shares Outstanding (mm)	238.61	238.61
Value per Share (US$)	386.92	393.12
Current Price (US$)	316.44	316.44
Implied Upside	22.3%	24.2%

EV / EBITDA MULTPLE

At the current price of US$316.44 and 238.606756mm shares outstanding, FedEx's market capitalization is approximately US$75,505mm; adding current net debt of US$29,632mm produces a current enterprise value of approximately US$105,137mm. Against FY2026 EBITDA (EBIT plus D&A, on the DCF model's own consistent basis) of US$10,354.37mm, this implies FedEx currently trades at **approximately 10.2x FY2026 EV/EBITDA** (9.9x on a trailing-twelve-month EBITDA basis).

This **agrees directionally with the DCF conclusion**: the terminal exit multiple applied in the EBITDA method of the DCF is 11.5x, only modestly above the current 10.2x trading multiple, and sits within the 7.6x–10.3x range of peer/price/target-implied multiples the model itself derives in fact the 11.5x exit multiple is above the top of that derived range, making it, if anything, the more conservative-leaning assumption of the two terminal value methods rather than an aggressive one. The two valuation approaches are therefore mutually reinforcing rather than in conflict: a DCF built from consensus-anchored operating assumptions and a peer-referenced terminal multiple independently arrives at a similar conclusion to the perpetuity growth approach, and both point to the same directional outcome the current 10.2x trading multiple undervalues FedEx relative to both its own cash flow generation and to where its logistics peers and the market have historically been willing to pay for similar businesses.

We would characterize the gap between FedEx's current 10.2x multiple and the 11.5x terminal multiple as a re-rating that is more likely to be earned through continued margin and free cash flow delivery (Sections 3 and 5) than one requiring a re-pricing of risk or a change in market sentiment toward the logistics sector a distinction that matters for the portfolio's value discipline, which prefers valuation support anchored in fundamentals over multiple expansion driven by speculative sentiment.

EBITDA Multiple Method - Value per Share	
Terminal EBITDA at Year 5	13,898
WACC	10.4%
Exit Enterprise Value / EBITDA	11.5x
Terminal Value at End of Year 5	159,824
Present Value of Terminal Value (@ 10.4% WACC)	97,453
(+) Present Value of Free Cash Flows (@ 10.4% WACC)	25,981
(=) Current Enterprise Value	**123,434.1**
Short Term Debt	5,101
(+) Long Term Debt	37,842
(-) Cash and Marketable Securities	13,311
(-) Current Net Debt	29,632
(-) Current Preferred and Minority Interest	-
(=) Equity Value	93,802
Shares outstanding	239
Estimated Value per Share (USD)	**393.12**
Current Price (USD)	316.44
Estimated Upside	**24%**

RISK ASSESSMENT

Operational and Volume Risk

FedEx's revenue history demonstrates meaningful cyclicality tied to freight and parcel volumes: revenue declined from US$93,512mm in FY2022 to US$87,693mm in FY2024, a peak-to-trough decline of 6.2%, as post-pandemic e-commerce normalization and a broader freight recession pressured volumes. A renewed volume downturn would directly pressure the revenue and margin assumptions underpinning both the earnings growth and DCF theses in Sections 3 and 7.

Financial and Leverage Risk

Despite the FY2026 improvement, net debt of US$29,632mm and net debt-to-equity of 93.63% remain meaningful, and long-term lease liabilities of US$14,549mm add further fixed obligations to the capital structure. A reversal of the FY2026 deleveraging trend, whether through renewed debt issuance, a cash outflow shock, or a slowdown in free cash flow generation would weaken the balance sheet quality thesis developed in Section 4.

Competitive Risk

The DCF model's own peer set UPS, Deutsche Post DHL, J.B. Hunt Transport, ZTO Express, Yamato Holdings and other regional Asian parcel operators illustrates a competitive landscape spanning integrated global logistics majors and lower-cost regional operators. Continued share gains by e-commerce-native or lower-cost delivery networks, or renewed pricing pressure from UPS or regional carriers, represents a persistent competitive risk to the margin expansion thesis in Section 3.

Valuation and Model Risk

The DCF model's own sensitivity tables demonstrate material valuation dispersion around the central case: per-share value under the perpetuity growth method ranges from approximately US$260 (at a 11.4% WACC and 4.0% terminal growth) to approximately US$662 (at a 9.4% WACC and 6.0% terminal growth), and implied upside/downside swings from roughly -18% to +109% across that same sensitivity grid. While the central case and both terminal value methodologies support the current recommendation, the valuation conclusion is sensitive to WACC and terminal growth/multiple assumptions, and investors should treat the US$386.92–$393.12 range as a central estimate rather than a precise target.

Macroeconomic Risk

As a global logistics operator, FedEx's volumes and pricing are sensitive to global trade activity, industrial production and consumer spending. A global growth slowdown or a material disruption to cross-border trade flows would be a headwind to the revenue and margin assumptions embedded in both the fundamental analysis and DCF sections of this report.

CONCLUSION

FedEx combines the business quality, financial performance and valuation characteristics the Value Stock Portfolio is constructed to hold. Business quality is evidenced by a structurally expanding operating margin (6.32% in FY2026 rising toward 7.99% by FY2031E–FY2032E per the DCF build) achieved alongside declining capital intensity, rather than through unsustainable cost-cutting. Financial performance is evidenced by the FY2026 free cash flow inflection (71.6% growth to US$5,116mm) and the sharpest single-year deleveraging move in the historical data set (net debt-to-equity falling 20.0 percentage points to 93.63%). Valuation support is evidenced by DCF-derived intrinsic value of US$386.92–$393.12 per share 22.3% to 24.2% above the current US$316.44 price and above the US$350.12 sell-side consensus target, corroborated by an EV/EBITDA cross-check in which FedEx's current 10.2x multiple sits below both the model's 11.5x terminal exit multiple and the levels historically accorded to global integrated logistics peers.

Portfolio fit is reinforced by a growing, well-covered dividend (14.3% CAGR since FY2020, a 31.3% payout ratio) and resilient double-digit return on equity (14.85% in FY2026) that together satisfy the portfolio's low-multiple, income-generating, quality-business mandate. The principal offsetting consideration, return on invested capital that remains below the cost of capital, notwithstanding a positive multi-year trend is a genuine, disclosed risk rather than a disqualifying one, and is more than offset by the margin, cash flow and balance sheet evidence developed throughout this report.

Recommendation: **BUY** The convergence of two independent DCF terminal value methodologies and an EV/EBITDA cross-check on a consistent upside conclusion, against a backdrop of improving fundamentals across the income statement, balance sheet and cash flow statement, supports the continuation and selective expansion of FedEx's allocation within the Value Stock Portfolio.